

chapter will teach you about your credit report, your credit score, and why it is so important to maintain both.

Credit Reports and Credit History

A **credit report** shows you your history of borrowing money, or lines of credit. More specifically, the credit report will show whether or not you have paid your debts on time. You can think of your credit history as your list of assignments in a class. In an ideal world, you would see that you submitted each of your assignments on time and received the full points in your course. Similarly, on your credit report, you want to see that you have paid all your lines of credit on time each month.

ACCOUNT NAME	ACCOUNT NUMBER	RECENT BALANCE							
Mike Hick	65418647	\$356 as of 05/14/20							
ADDRESS	TYPE	CREDIT LIMIT							
1343 Fake St	Credit Card	\$5,000							
Colusa, CA	DATE OPENED	HIGH BALANCE							
95932	Nov. 2016	\$3,875							
ACCOUNT HISTORY		STATUS OPEN							
2019		2020							
OCT	NOV	DEC	JAN	FEB	MAR	APR	MAY	JUN	JUL
OK	OK	OK	OK	30	60	OK	OK	OK	OK

Figure 5.1. Sample credit report

Figure 5.1 is a snapshot from a sample credit report, showing the history of a single line of credit. The report shows what type of credit line it is (credit card, in this case) and the details of the